

EPS-95 Higher Pension: How It's Actually Calculated

“Same Rules, Two Formulas, Two Very Different Pensions” — Understanding the Gap Between the 60-Month Average Method and EPFO's Proportionate (Split) Method

A guidance note for EPS-95 members considering the higher-pension option

Members who opted for the EPS-95 higher-pension option (following the Supreme Court's November 2022 ruling) often assume their pension will simply be their recent, higher salary multiplied across their whole career. In practice, EPFO applies a different, less generous approach for anyone whose service spans the wage-ceiling change of **1 September 2014** — and, as reported, its internal circular does not consistently apply either formula, but instead selects **whichever of the two calculations yields the lower pension** for that member. This note explains both methods side by side, with worked examples in both directions, so members can understand why their sanctioned pension may differ from what they expected — and why the outcome can feel inconsistent from one member to the next.

1. Why Two Methods Exist

The rules governing how “pensionable salary” is calculated under EPS-95 changed with effect from 1 September 2014: the averaging period moved from the **last 12 months** to the **last 60 months**, and the statutory wage ceiling moved from Rs. 6,500 to Rs. 15,000. For members whose entire pensionable service falls after that date, this creates no ambiguity. But for long-serving members whose career spans both the pre-2014 and post-2014 regimes — which is the case for most higher-pension applicants — there are two competing ways to apply the formula.

2. What EPFO's Internal Circular Actually Prescribes: “Whichever Is Lower”

This is the detail that many members find most troubling once they compare notes with each other: EPFO's own internal computation circular (reported around February 2024, and referencing three figures — the average salary of the last 60 months, the highest monthly salary drawn before 1 September 2014, and the highest salary after that date) directs field offices to calculate pension using **whichever of these figures is lower**, rather than consistently applying either the simple method or the split method as a fixed rule.

In practical terms, this means EPFO is not choosing “Method 1” or “Method 2” as a policy — it is running the numbers both ways for each member and keeping whichever result costs the Pension Fund less. For a member whose recent salary is much higher than their 2014-era salary (the common case), this usually means the split method is applied, because it gives the lower figure. For a member in the reversed situation described in Section 5 — where the 60-month trailing average is actually lower than the 2014 figure — the **same “lower of the two” logic** would instead select the simple 60-month method, again because it happens to be the smaller number in that case.

This is very likely the “inconsistency” you are pointing to: it is not that EPFO applies one rule unevenly by mistake, but that the underlying rule itself — as reported — is designed to always land on the lower figure, whichever formula happens to produce it for a given member's specific salary history. Legal commentators have noted that this “whichever is lower” clause does not appear in the statutory EPS Rules themselves and was introduced only through an internal circular; such a circular was reportedly taken down from EPFO's own website without an official explanation, and the underlying pro-rata approach remains under challenge before multiple courts. That makes this less a settled computation rule than an administrative practice still being contested.

What this means for your case specifically: your 60-month average being lower than your Aug-2014 figure, and EPFO having applied the 60-month figure, is *consistent* with a “lowest of the two” practice rather than proof that no error occurred. It is still worth asking EPFO in writing for the actual computation sheet and the specific circular/authority it relied upon, since that clause's legal standing is itself contested.

3. The Two Methods, Side by Side

	Method 1: Simple (Undivided) 60-Month Average	Method 2: Proportionate (Split) Method — Used by EPFO
Basic idea	One average salary figure applied to the entire career, pre- and post-2014 alike.	Career is split into two blocks at 1 Sept 2014; each block uses its own salary figure.
Formula	(Average salary of last 60 months before exit × Total pensionable service) ÷ 70	Part A: (Avg. salary of last 12 months up to 31.8.2014 × Service up to 31.8.2014) ÷ 70 Part B: (Avg. salary of last 60 months before exit × Service from 1.9.2014 onward) ÷ 70 Total = Part A + Part B
Salary used for older years of service	Recent (usually much higher) last-drawn salary is applied even to decades-old service.	Older service is credited only at the salary level prevailing back in 2014 , not the recent higher salary.
General effect on pension amount	Tends to produce a higher sanctioned pension.	Tends to produce a meaningfully lower sanctioned pension for the same career.
Status	What most members expected based on the 2022 Supreme Court ruling; upheld by some High Court orders in specific cases.	The method EPFO has generally applied in practice via its computation circulars; contested and under litigation in various forums.

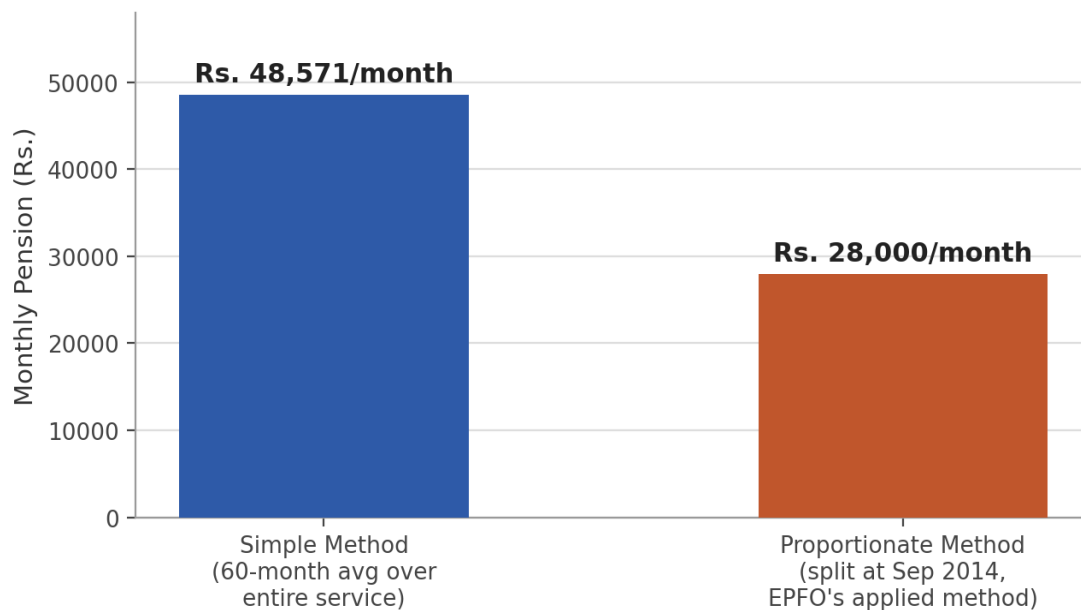
4. Worked Example (Illustrative Figures)

Assume a member joined service in 1990 and retired in 2024 — a total of **34 years** of pensionable service, split as 24 years before 1 September 2014 and 10 years from that date to retirement. Assume the average salary as of August 2014 was Rs. 40,000/month, and the average of the last 60 months' salary before retirement (2024) was Rs. 1,00,000/month.

Input	Value
Total pensionable service	34 years (24 pre-2014 + 10 post-2014)
Average salary as of Aug 2014 (used in split method, Part A)	Rs. 40,000 / month
Average of last 60 months' salary at retirement, 2024	Rs. 1,00,000 / month

Step	Simple (Undivided) Method	Proportionate (Split) Method
Formula applied	$(1,00,000 \times 34) \div 70$	Part A: $(40,000 \times 24) \div 70$ Part B: $(1,00,000 \times 10) \div 70$
Calculation	$34,00,000 \div 70$	Part A: $9,60,000 \div 70 = 13,714$ Part B: $10,00,000 \div 70 = 14,286$
Monthly pension	Rs. 48,571	Rs. 28,000 (13,714 + 14,286)

Illustrative Monthly Pension: Simple vs. Proportionate Method (34 years of service, retiring in 2024)



On these illustrative figures, the proportionate method yields roughly **Rs. 20,571 less per month (about 42% lower)** than the simple undivided method — on the exact same career, salary history, and contributions. This gap is the crux of why the calculation method matters so much to members, and why it has been repeatedly challenged before various High Courts.

5. A Reversed Scenario: Retiring Soon After the 2014 Transition

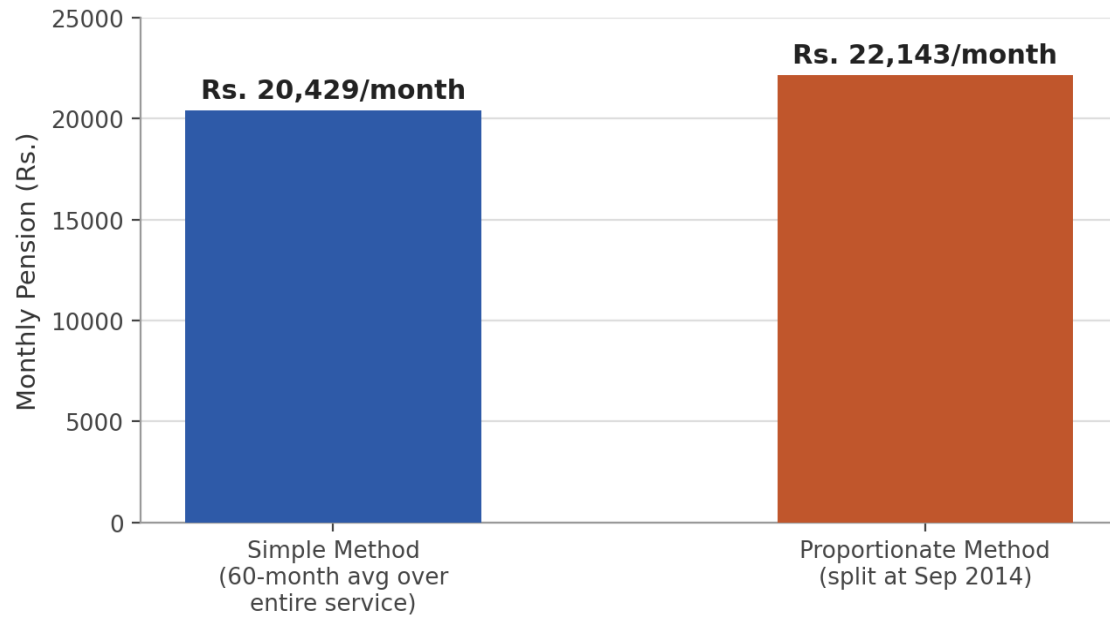
The examples above assume the common pattern — salary rising steadily, so the recent 60-month average is higher than the salary level back in 2014. But this doesn't always hold. Consider a member who reached age 58 (superannuation) in **July 2016** — barely two years after the 1 September 2014 transition. If that member had a significant raise or promotion shortly before August 2014, followed by flatter salary growth afterward, their **trailing 60-month average** (which blends in several older, lower-salary months) can actually work out **lower** than the specific average salary that prevailed as of August 2014.

In that situation, the usual assumption — that the simple undivided 60-month method is always the more favourable one for the member — no longer holds. Since most of this member's career falls in the pre-2014 block, applying the split method would let that larger block draw on the **higher** Aug-2014 figure, while only the small post-2014 tail uses the lower recent average. The result can be a **higher** pension under the split method than under the simple method — the opposite of what members typically expect and litigate for.

Input	Value
Date of birth / age 58 reached	7 July 2016
Total pensionable service	26 years (24 pre-2014 + 2 post-2014)
Average salary as of Aug 2014 (used in split method, Part A)	Rs. 60,000 / month
Average of last 60 months' salary before exit, July 2016	Rs. 55,000 / month (lower than the Aug-2014 figure)

Step	Simple (Undivided) Method	Proportionate (Split) Method
Formula applied	$(55,000 \times 26) \div 70$	Part A: $(60,000 \times 24) \div 70$ Part B: $(55,000 \times 2) \div 70$
Calculation	$14,30,000 \div 70$	Part A: $14,40,000 \div 70 = 20,571$ Part B: $1,10,000 \div 70 = 1,571$
Monthly pension	Rs. 20,429	Rs. 22,143 (20,571 + 1,571)

**Reversed Scenario: Retiree at Age 58 in July 2016
(60-month average lower than Aug-2014 salary)**



In this illustrative case, the **split method actually produces about Rs. 1,714 more per month** than the simple undivided method — the reverse of the usual pattern. Under the “whichever is lower” practice described in Section 2, this is exactly the scenario where EPFO’s logic would pick the **simple 60-month figure** (since it is the smaller number here), even though the split method would have paid more. The lesson: a member should not assume either method is automatically in their favour, and should not assume that EPFO applying the “simple” method is automatically the better outcome — it may simply be the lower one. If your circumstances resemble this — superannuation soon after 2014, and a 60-month trailing average that looks lower than your salary as of August 2014 — it is worth specifically asking EPFO/your RPFC office to show the computation **both ways** before concluding there is nothing to pursue.

6. A Real Case Illustration (Name and PPO/Member ID Withheld)

The following is a **live example** drawn from an actual EPFO higher-pension computation sheet furnished to a retired employee of **POWERGRID** (Power Grid Corporation of India), with the name, PPO number, member ID, and UAN masked to protect the individual's identity. It is included here because it shows, in a real case, exactly how large the gap between the two calculation approaches can be — and confirms that EPFO's own worksheets do use the split/proportionate method with a service-weightage addition, computed on a day-count basis rather than in whole years.

Particular	Value
Date of joining	30 July 1986
Date of exit from EPS-95 (used for computation)	5 June 2023
Past service up to 15 Nov 1995	8 years 11 months 16 days
Pensionable service up to 31 Aug 2014	6,796 days (~18.62 years)
Pensionable service 1 Sep 2014 to exit	3,199 days (~8.76 years)
Service weightage (bonus for 20+ years of service)	730 days (2 years)
Average monthly pay, last 60 months before exit	Rs. 1,52,636
EPFO's wage-ceiling figure for the pre-Sep-2014 period (higher-pension basis)	Rs. 76,558
Past Service Benefit under FPS-1971 (unaffected by the 60-month/split question)	Rs. 706 / month

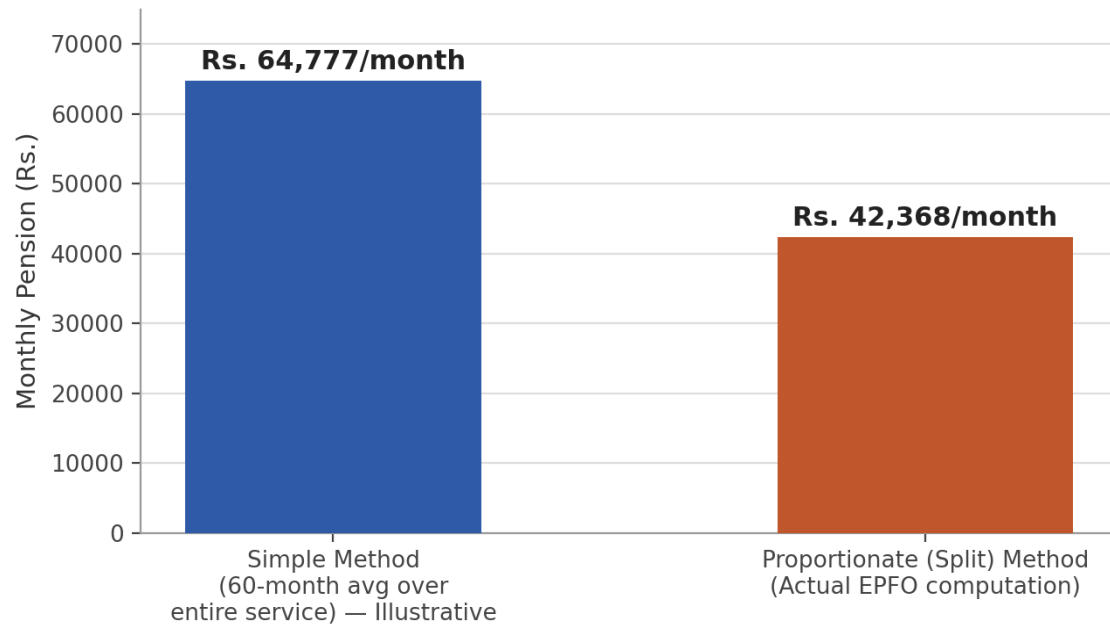
Method 2 — Proportionate (Split), as actually computed by EPFO:

Part A (pre-Sep-2014 block, including weightage): $[(6,796 + 730 \text{ days}) \times \text{Rs. } 76,558] + \text{Part B (post-Sep-2014 block): } [3,199 \text{ days} \times \text{Rs. } 1,52,636]$ — the sum divided by (70×365) :
= Rs. 41,662 (rounded) + Past Service Benefit Rs. 706 = **Rs. 42,368 per month** — this is the pension actually sanctioned in this case.

Method 1 — Simple (Undivided) 60-Month Average, recomputed here for comparison only:

If the same average monthly pay of Rs. 1,52,636 were instead applied to the member's **entire** pensionable service $(6,796 + 3,199 + 730 \text{ weightage days} = 10,725 \text{ days, } \sim 29.38 \text{ years})$ rather than splitting it at September 2014: $[10,725 \text{ days} \times \text{Rs. } 1,52,636] \div (70 \times 365)$:
= Rs. 64,071 (rounded) + Past Service Benefit Rs. 706 = **Rs. 64,777 per month** — this is illustrative only; EPFO did not apply this method in this case.

**Real Case (Anonymised): Joined 1986, Exited EPS June 2023
~29.4 years pensionable service (incl. weightage)**



In this real case, the simple undivided 60-month method would have produced roughly **Rs. 22,409 more per month (about 53% higher)** than the proportionate method EPFO actually applied. This is one of the starkest illustrations available of why the choice of method matters so much in practice — for a member with nearly three decades of pre-2014 service and a sharply higher final salary, the proportionate/split approach caps the benefit of that higher salary to only the final ~8.8 years, while the pre-2014 block (roughly 18.6 years) is confined to a fixed wage-ceiling figure of Rs. 76,558, regardless of how much higher the member's actual contributions or salary later became.

7. Key Takeaways for Members

- **EPFO's reported practice is to apply whichever of the two calculations gives the lower pension** — not to apply one formula consistently. This is not officially part of the statutory EPS Rules; it surfaced through an internal circular that was subsequently taken off EPFO's own website, and the underlying pro-rata approach remains contested in multiple courts. Members should not assume there is a single, settled formula being applied uniformly.
- If your pensionable service began before 1 September 2014 and continued after it, ask EPFO/your RPFC office explicitly which method — and which circular/authority — has been used in your Pension Payment Order (PPO) calculation sheet.
- The gap between the two methods grows larger the more your salary has risen since 2014 and the longer your pre-2014 service was — so long-serving members are typically the most affected.
- **Which method is actually favourable to you depends on your own salary trajectory, not a fixed rule.** As Section 5 illustrates, members who superannuated soon after 2014 with a flatter post-2014 salary curve can find the split method more favourable, the opposite of the general pattern. Do not assume that EPFO having applied the "simple 60-month" method automatically means your case has no further question — under a "lowest of the two" practice, that may simply mean it was the smaller number.
- Several High Courts have, in specific cases, directed EPFO to apply the simple (undivided) 60-month average method instead of the proportionate split; however, this is not yet a uniform, nationwide settled position, and EPFO's own circulars on this point have been revised, and at least one withdrawn, more than once.
- Members who believe their pension may have been calculated using the less favourable of the two figures may consider filing a written representation with their Regional PF Commissioner requesting the computation both ways, or exploring legal remedy through the appropriate forum, ideally with the help of a professional familiar with current EPS higher-pension litigation in their jurisdiction.

Disclaimer: This note explains the general methodology reported in EPFO circulars, press coverage, and public commentary on EPS-95 higher-pension computation — including the reported "whichever is lower" practice — illustrated using hypothetical figures for ease of understanding. It is not legal or financial advice, and does not reflect any specific individual's actual Pension Payment Order. The applicable method, circular basis, and figures can vary by case, have been revised more than once, and continue to be contested in various courts; please verify your own pension calculation directly with EPFO or a qualified professional before drawing conclusions or taking action. Prepared for A H Char, July 2026, for general guidance and circulation.